

CONVERT HOME EQUITY TO CASH

Tax laws let you defer capital gains taxes on the sale of your residence. All you have to do is roll the gain into another house within two years.

Builders, lenders, escrow agents, realtors, and title insurance companies love the law. It's one more way to bind us to the trading-up spiral. Mothers who believe that "home-ownership" is next to godliness love the law. With that kind of support, Congress is about as likely to close this loophole as they are to ban apple pie. (The 1986 Tax Reform Act was the most comprehensive tax change since 1954. Yet, the home-rollover benefit sailed through Congress intact.)

So when you sell your home you pay the tax and buck the system. That costs some real, out-of-pocket tax dollars. If you have a \$100,000 gain on the sale of your home you'll pay roughly \$28,000 of federal tax. You'll also pay a couple of thousand dollars in state taxes. It hurts.

But there are a couple of things you can do.

First, you can smooth your taxable-income stream. Smoothing is not income averaging. Rather, when you smooth you avoid reporting a large taxable income in any one year. That lets you take full advantage of lower tax rates on lower income. For example, in 1988 a married couple filing jointly must pay a 5 percent extra federal tax on income between \$71,900 and \$149,250. With smoothing you try to keep your income below \$71,900 and avoid the extra tax. Without smoothing, and assuming you run your taxable income to the full \$149,250, you pay an extra \$3,868.

One way to smooth is to sell your home in a low-income year. That way the gain stands alone, rather than on top of a lot of other income. Remember, you'll have plenty of low-income years after you retire. Another way to smooth is to sell your home in a year in which you have losses from other sources—sale of stock, for example. Net the gains against the losses and you reduce taxable income.

Another way to smooth is to defer interest income in the